

Candlestick Patterns

There are Two main types of Forex chart patterns:

Continuation & Reversal

continuation patterns are a type of candlestick pattern that indicate the continuation of a trend.

Reversal candlestick patterns are graphical formations that indicate a change in the direction of the price movement.

A candlestick in trading is a visual representation of price movements for a specific time period. Each of them delivers four key pieces of information: opening, closing, highest, and lowest prices.

Common Reversal Candlestick Patterns:

A bearish engulfing

pattern is a technical chart pattern that signals lower prices to come.

The pattern consists of an up (white or green) candlestick followed by a large down (black or red) candlestick that eclipses or "engulfs" the smaller up candle

The bullish engulfing

pattern is a two-candle reversal pattern. The second candle completely 'engulfs' the real body of the first one, without regard to the length of the tail shadows.

A morning star

is a visual pattern consisting of three candlesticks that are interpreted as bullish signs by technical analysts.

An evening star

is a stock price chart pattern that's used by technical analysts to detect when a trend is about to reverse. It's a bearish candlestick pattern that consists of three candles: a large green candlestick, a small-bodied candle, and a red candle.

The Pin Bar (hammer/inverted hammer)

is a powerful signal of price reversal in a currency trading strategy. It denotes that there has been a strong loss of upward momentum, and a possible reversal to the downside is now in play.

Candlestick charts only show price data, which can be limiting for traders who want to incorporate other types of data into their analysis, such as volume or news events.